

Stora Enso Oyj

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COMPANY PROFILE

Stora Enso Oyj is a Finland-headquartered renewable materials group producing fiber-based packaging materials and solutions, biomaterials (pulp and bio-based chemicals), and wood products, while also owning substantial forest assets in the Nordics and Baltics. The company is restructuring its reporting into Consumer Packaging, Integrated Packaging, Biomaterials and Other segments, and has initiated preparations to separate its Swedish forest assets into a new independently listed forest company, alongside an ongoing strategic review of its Central European sawmilling and building-solutions operations.

RECOMMENDATION

BUY

12-month horizon

CURRENT PRICE

9.17 EUR

as of report date

TARGET PRICE

13.30 EUR

12-month fundamental

IMPLIED UPSIDE

+45.0%

vs. current price

MARKET CAP

EUR 7.2 bn

shares × price

ENTERPRISE VALUE

EUR 10.6 bn

mcap + net debt

P/E 2026E

17.8×

EV/EBITDA 2026E

6.7×

FCF YIELD 2026E

1.2%

DIVIDEND YIELD

2026E

4.5%

NET DEBT / EBITDA

2026E

2.2×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION BUY 12-month horizon	TARGET PRICE 13.30 EUR 12-month fundamental	CURRENT PRICE 9.17 EUR as of report date	IMPLIED UPSIDE +45.0% vs. current price
MARKET CAP EUR 7.2 bn shares × price	ENTERPRISE VALUE EUR 10.6 bn mcap + net debt	P/E · EV/EBITDA 2026E 17.8x · 6.7x history + peers, see p. 18–19	FCF · DIV YIELD 2026E 1.2% · 4.5%



01 Consumer Packaging Margin Recovery

Consumer Packaging's adjusted EBIT margin needs to recover from 6.2% (EUR 230m) to over 10.0% (EUR 420m) as Oulu ramps up and fixed costs get absorbed, directly justifying EUR 3,750m of enterprise value allocated to this segment alone.

10.0%

02 Group EBIT Margin Expansion

Group EBIT margin is modeled to expand from 7.4% in 2026E to 9.1% by 2027E as sales grow modestly to EUR 9,768m, driving 2027E EBITDA of EUR 1,520m, the key input behind the EUR 12.1 EV/EBITDA-derived share price.

9.1%

03 Discounted Forest Asset NAV

The market prices Stora Enso at 6.73x forward EV/EBITDA versus a 9.0x historical norm because it discounts both packaging margin recovery and the EUR 5.7bn forest NAV, haircut to just EUR 2,750m pending 2027 demerger debt disclosure, capping the multiple until visibility improves.

6.73x

THESIS BREAKER

The thesis breaks if combined Nordic capacity additions permanently rebase FBB margins below 8%, or if Bergslagets Skogar is loaded with ~EUR 3bn of debt.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Monthly closing prices over 24 months with the 12 - month target price, alongside key market data.



CURRENT PRICE 9.17 EUR 24 July 2026	TARGET PRICE 13.30 EUR 12-month	IMPLIED UPSIDE +45.0% vs. current	52-WEEK HIGH 12.26 EUR past 12m
52-WEEK LOW 8.50 EUR past 12m	1-YEAR CHANGE +0.3% price only	3-YEAR CHANGE -6.3% price only	REPORT DATE 24 July 2026

VALUE BREAKDOWN · PART 1

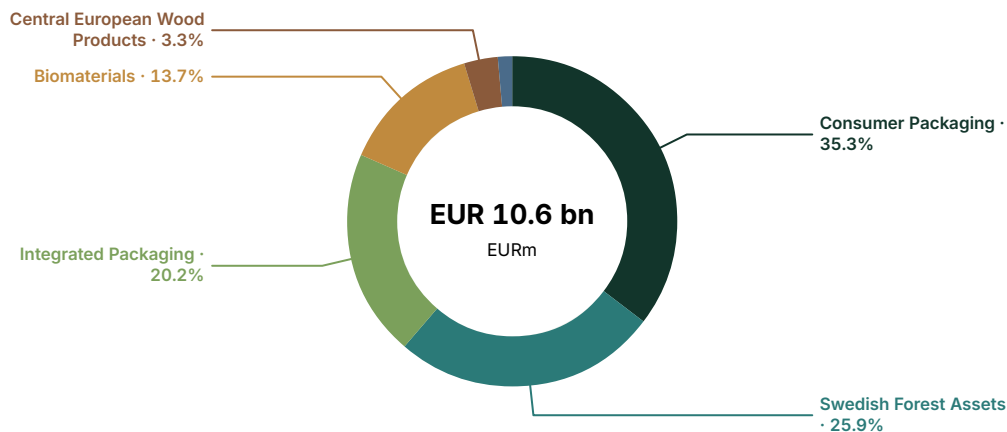
Enterprise - value allocation by segment

04

Each segment's contribution to group revenue, comparable EBIT and enterprise value.

Enterprise value by segment

EUR millions · segment revenue/EBIT weights: FY2025A



SEGMENT ECONOMICS

Revenue and Comp. EBIT: FY2025A (source: Stora Enso updates comparative figures following changes to segment reporting (25 March 2026)). EV: current allocation.

	REVENUE	SHARE OF REVENUE / DIV.	COMP. EBIT	SHARE OF EBIT / DIV.	EV	EV %	ARCHETYPE
Consumer Packaging	3,692	39.6%	230	43.6%	3,750	35.3%	Profit engine
Swedish Forest Assets	0	0.0%	0	0.0%	2,750	25.9%	Asset-backed
Integrated Packaging	2,359	25.3%	110	20.8%	2,150	20.2%	Scaling
Biomaterials	778	8.3%	60	11.4%	1,450	13.7%	Commodity
Central European Wood Products	0	0.0%	0	0.0%	350	3.3%	Restructuring
Group corporate / other residual	2,497	26.8%	128	24.2%	168	1.6%	Mixed
Total	9,326	100.0%	528	100.0%	10,618	100.0%	—

VALUE BREAKDOWN · PART 2

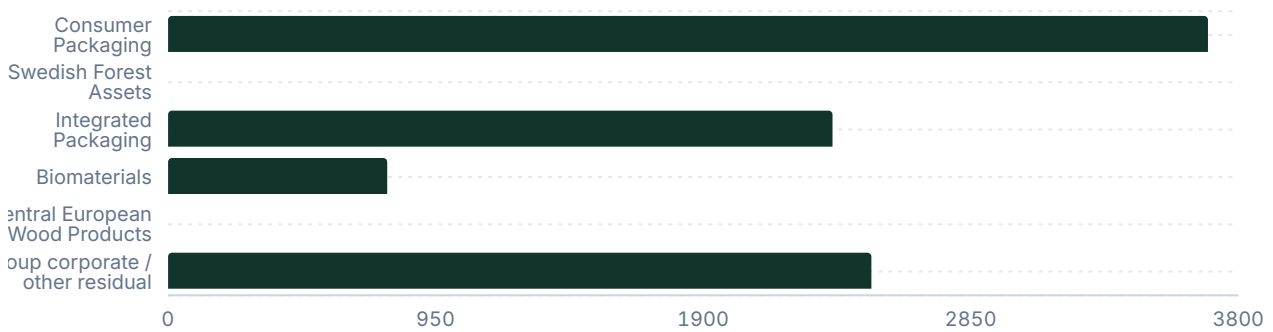
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Net sales and EBIT by segment

Where the group's revenue and comparable EBIT originate, by segment.

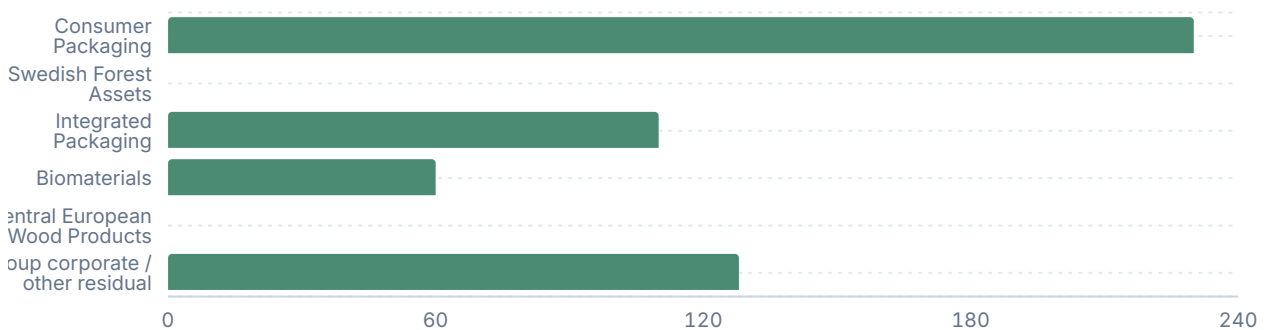
Net sales by segment

EUR millions, FY2025A



Comparable EBIT by segment

EUR millions, FY2025A



INTERPRETATION

Stora Enso's valuation tension is acute: the cash-generative Consumer and Integrated Packaging segments support over 55% of the enterprise value on cyclical margin-recovery hopes, while over a quarter of EV is tied up in the non-cash Swedish Forest Assets pool. The asset pool is valued on a heavily haircut NAV framework due to undisclosed demerger debt, creating a dual-track dependency on operational execution and balance sheet structuring.

RECOMMENDATION

Why we land on the call we do

06

The rationale for the rating, the decision summary, and the three principal supporting arguments.

Stora Enso currently trades at EUR 9.172, well below its EUR 13.3 target price, implying roughly 45% upside and supporting a BUY rating over the next 12 months.

Stora Enso's investment case hinges on one variable: whether Consumer Packaging's adjusted EBIT margin recovers from an estimated 6.2% to a required 10.0%+. A 380bps margin swing here alone justifies EUR 3,750m of the group's EUR 10,618m enterprise value.

The market is pricing Stora Enso at 6.73x forward 2026 EV/EBITDA, below its 9.0x five-year norm and near the low end of peers, largely because it refuses to credit packaging margin recovery while simultaneously discounting the EUR 5.7bn gross forest NAV to just EUR 2,750m of EV pending debt disclosure.

BUY

TARGET PRICE

13.30 EUR

CURRENT PRICE

9.17 EUR

IMPLIED UPSIDE

+45.0%

12-MONTH VIEW

Stora Enso offers significant upside as the market digests packaging margin recovery and the upcoming Swedish forest demerger, making it a compelling buy despite cyclical headwinds.

MAIN DRIVER

Consumer Packaging margin recovery and Oulu capacity ramp

MAIN RISK

Overleveraged demerger structure and containerboard oversupply



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CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The framework underlying the segment deep dives that follow.

Stora Enso currently derives the vast majority of its recurring economic output from fiber-based packaging. Following the 2026 segment restatement, the Consumer Packaging and Integrated Packaging divisions jointly account for roughly 65% of Group net sales and generate the majority of underlying operating profit. However, current group-level reported EBIT (EUR 942 million in FY2025) is materially distorted by non-cash fair value revaluations of biological assets embedded within the “Other” segment. Adjusted operating EBIT for the core business was substantially lower at EUR 528 million, highlighting the cyclical trough currently depressing packaging and biomaterials margins.

Enterprise value allocation reveals a fundamental structural tension. While packaging represents the core cash-flow engine, more than a quarter of the group's enterprise value (25.9%) is allocated to the Swedish Forest Assets pool. This reflects the pending 2027 statutory demerger of Bergslagens Skogar, which will separate 1.2 million hectares of Swedish forest land into a pure-play listed entity. Because this asset-backed pool is valued on a haircut-adjusted Net Asset Value (NAV) framework ahead of the transaction, its EV contribution is entirely decoupled from its near-term cash generation. The allocation utilizes a heavily haircut estimate rather than the gross EUR 5.7 billion disclosed fair value, because the debt allocation to the new entity remains unknown.

The enterprise value control total of EUR 10,618 million bridges to the equity market capitalization of EUR 7,233 million by deducting forward 2026E net debt of EUR 3,481 million, offset by minor EUR 96 million non-operating adjustments. The central analytical task is two-fold: verifying whether the packaging segments can recover to their stated >10% EBIT margin targets to justify their 55.6% combined EV share, and testing whether the gross forest NAV will survive debt allocation, separation friction, and tax leakage to deliver realized equity value to Stora Enso shareholders.

ANALYTICAL ANCHOR

Valuation is trapped between trough packaging multiples and undiscounted gross forest NAV, demanding flawless execution on both operational and transactional fronts.

08

Consumer Packaging

Segment deep dive — Profit engine.

Consumer Packaging is Stora Enso's primary cash-generation vehicle and its main strategic growth vector. The market values this pool on the expectation of a structural margin recovery. Valuation relies on the premise that the heavy capital expenditure cycle—most notably the Oulu mill conversion—will soon inflect from a margin drag into a high-margin volume contributor. The assigned enterprise value does not reflect the current depressed trough earnings; it prices in a return to normalized mid-cycle pricing for cartonboard and foodservice boards, alongside the realization of scale efficiencies from fully integrated pulp and energy inputs.

The addressable market for folding boxboard (FBB), solid bleached board (SBB), and liquid packaging board is driven by global FMCG volumes, food service demand, and the structural substitution of plastics with renewable fiber. While the long-term volume trajectory benefits from EU packaging regulations and brand-owner sustainability mandates, the near-term market has suffered from severe supply-chain destocking and weak European consumer sentiment. The market structure is heavily consolidated in the Nordics, where players rely on virgin fiber (fresh wood) rather than recycled content, commanding premium pricing for food-grade safety.

Stora Enso holds a formidable competitive moat in primary fiber access and integrated energy, matching direct Nordic rival Metsä Board. Metsä Board recently upgraded its Simpele board machine and operates 1.36 million tonnes of folding boxboard capacity, putting intense competitive pressure on the European market. Stora Enso's defense relies on its product mix—specifically its dominance in liquid packaging board for customers like Tetra Pak. Commercially, Stora Enso is ahead in absolute virgin board scale, but it currently suffers from execution friction related to major capital projects. The company must prove that its Oulu conversion can match Metsä Board's operational efficiency once fully ramped.

The business model is highly capital intensive, driven by the math of units × ASP minus fiber/energy inputs. Wood costs represent approximately 30% of total operating expenses for Nordic board producers. When capacity utilization falls—as it did during the 2024–2025 destocking cycle—fixed cost absorption deteriorates rapidly, crushing the EBIT margin. Achieving the required unit economics demands operating massive board machines at >90% utilization. Stora Enso's Oulu line adds significant scale, but during the ramp-up phase, depreciation and start-up inefficiencies dilute the contribution margin.

CONSUMER PACKAGING
FACT SHEET

PROFIT ENGINE

FY2025A REVENUE
EUR 3,692m

FY2025A COMP. EBIT
EUR 230m

NET SALES SHARE
39.6%

EST. ADJUSTED EBIT
EUR ~230m

EBIT MARGIN (EST)
6.2%

TARGET EBIT MARGIN
>10%

SCALE
EUR 3.7bn sales

KEY DRIVER
Oulu ramp-up & pricing
recovery

08

Swedish Forest Assets

Segment deep dive — Asset-backed.

The market values this pool on a pure asset-NAV basis, catalyzed by the November 2025 announcement that Stora Enso will separate its Swedish forest assets into a new listed entity, Bergslagets Skogar. Forest land is prized by institutional investors for its biological yield, long-term land appreciation, and near-zero correlation with broader equity markets. The valuation thesis rests on the premise that a pure-play forest holding company will trade at a premium multiple to book value, unlocking value currently trapped within an integrated industrial conglomerate.

Nordic timberland is a scarce, highly consolidated asset class. Large industrial players dominate ownership. The demand for these assets is strictly institutional, driven by carbon sequestration mandates, ESG capital flows, and the underlying industrial demand for renewable fiber. Because the land provides an absolute hedge against inflation and guarantees wood supply security, pure-play timberland companies trade at significant premiums to standard industrial multiples.

Bergslagets Skogar's 1.2 million hectares represent a Tier-1 asset base. Its primary peer, SCA, operates 2.7 million hectares and provides the ultimate public market valuation anchor. The moat is absolute: large-scale contiguous timberland in Sweden cannot be replicated. However, because Stora Enso will retain a long-term wood supply agreement with Bergslagets Skogar, the new entity's ability to maximize open-market pricing may be slightly constrained by its contractual obligations to its former parent.

The core valuation metric for this asset pool is NAV per hectare. Stora Enso disclosed a fair value of EUR 5.7 billion for the specific Swedish assets slated for demerger (1.2 million hectares). This implies a gross asset value of approximately EUR 4,750 per hectare. The recurring cash economics (timber harvesting revenues minus silviculture costs) are relatively low-yield compared to the capital base; the true economic return consists of biological standing-stock volume growth and per-hectare land appreciation.

SWEDISH FOREST ASSETS
FACT SHEET

ASSET-BACKED

FY2025A REVENUE
EUR 0m

FY2025A COMP. EBIT
EUR 0m

FOREST AREA
1.2m hectares (Sweden)

GROSS NAV
EUR 5.7bn (Sept 2025)

IMPLIED VALUE/HECTARE
~EUR 4,750

PENDING TRANSACTION
Statutory partial demerger
(H1 2027)

NEXT MILESTONE
CMD Nov 3, 2026

KEY UNKNOWN
Debt allocation split

08

Integrated Packaging

Segment deep dive — Scaling.

The market values Integrated Packaging for its scale and potential to capture structural e-commerce and industrial volume growth. This business encompasses containerboard and corrugated solutions, where vertical integration provides a hedge against raw material price spikes. The allocated EV reflects mid-cycle earnings potential rather than current depressed margins.

The European containerboard market is currently battling severe structural overcapacity. During the post-pandemic boom, massive capacity additions were sanctioned across the industry. As demand normalized, operating rates collapsed.

Stora Enso is a major regional player but lacks the sheer market-making weight of the newly formed Smurfit WestRock, which commands ~25 million tonnes of global capacity and roughly USD 30 billion in revenue. Smurfit WestRock has recently shut down hundreds of thousands of tonnes of capacity (e.g., in Minnesota and Texas) to rebalance the market. Stora Enso relies on its high-quality virgin kraftliner and sustainability credentials, but its lack of equivalent global scale makes it a price-taker in an oversupplied market.

Profitability depends entirely on the spread between recovered paper (RCP) or virgin wood costs and the final corrugated box price. The industry requires >85% capacity utilization to maintain pricing discipline. Stora Enso's unit economics here are stressed by high fixed costs and intense competitive pressure. To support the EUR 2,150 million EV allocation at an 8x multiple, the segment requires roughly EUR 270 million in recurring EBIT.

INTEGRATED PACKAGING
FACT SHEET

SCALING

FY2025A REVENUE
EUR 2,359m

FY2025A COMP. EBIT
EUR 110m

NET SALES SHARE
25.3%

REQUIRED EBIT
EUR ~270m

MARKET STATUS
Structural overcapacity

COMPETITOR ACTIVITY
Capacity discipline needed

08

Biomaterials

Segment deep dive — Commodity.

The Biomaterials division is essentially a long call option on global market pulp pricing. Its valuation is heavily leveraged to the spread between Nordic roundwood input costs and the globally traded price of Northern Bleached Softwood Kraft (NBSK) pulp. With massive eucalyptus pulp volumes from players like Suzano entering the market, hardwood pulp pricing in China has been pressured, capping the upside for European producers.

The EV allocation of EUR 1,450 million assumes that current trough conditions will revert to a historical mean. If pulp prices remain structurally impaired by South American capacity additions, this segment is materially overvalued.

BIOMATERIALS FACT SHEET

COMMODITY

FY2025A REVENUE
EUR 778m

FY2025A COMP. EBIT
EUR 60m

REPORTED MARGIN
11.9%

NET SALES
EUR 778m (residual est.)

KEY DRIVER
NBSK Pulp Pricing

COMPETITIVE THREAT
LATAM eucalyptus supply

CORE ANALYSIS · SEGMENT DEEP DIVES

08

Smaller segments — grouped deep dives

Segments that don't warrant a full deep dive — a short fact strip each.

Central European Wood Products

Restructuring — FY2025A revenue: EUR 0m · FY2025A comp. EBIT: EUR 0m · Status: Under strategic review · Potential Outcome: Divestment or restructuring · Market Environment: Subdued construction market

Group corporate / other residual

Mixed — FY2025A revenue: EUR 2,497m · FY2025A comp. EBIT: EUR 128m · Included Items: Wood & Energy, Group admin, Eliminations

CORE ANALYSIS · CROSS-SEGMENT BRIDGE

Putting the segments back together

09

How the segment valuations aggregate to the group, and the re-rating the target price requires.

The mechanical driver of the group's forward forecast is aggressive margin expansion rather than top-line growth. Net sales are modeled to grow at a modest 1.3% to 3.4% annually through 2029, reflecting the mature nature of the European packaging market and the capacity constraints of the existing asset base. However, EBIT is modeled to jump from EUR 698 million in 2026E to EUR 1,050 million by 2029E, driving the EBIT margin from 7.4% to 10.2%.

This margin expansion is entirely dependent on future operational normalization rather than currently proven economics. It requires the Consumer Packaging segment to successfully absorb the Oulu ramp-up costs, the Integrated Packaging segment to benefit from a tightening in the European containerboard market, and Biomaterials to experience a cyclical pulp price recovery.

The bridge is weakest in its assumption of uninterrupted margin accretion through 2029. It does not appear to fully account for the loss of earnings that will occur when Bergslagens Skogar is demerged in H1 2027 (which will remove the biological asset growth from the income statement), nor does it account for the potential volatility of the pulp cycle. For the forecast to be credible, the underlying cash packaging businesses must fundamentally structurally improve their cost profiles to offset the loss of the forest asset contributions.

BRIDGE MECHANICS

Net sales grow a modest 1.3%-3.4% annually, requiring aggressive operational margin expansion to drive EBIT from EUR 698m in 2026E to EUR 1,050m by 2029E.

The valuation tension within Stora Enso is extreme. At a group level, the company trades at a forward 2026 EV/EBITDA multiple of 6.73x. This represents a significant discount to its five-year normalized average of 9.00x. However, this optical cheapness masks the fact that 25.9% of the enterprise value (EUR 2,750 million) is allocated to the Swedish Forest Assets pool on a haircut NAV basis, which generates minimal near-term cash EBITDA.

If we remove the EUR 2,750 million forest allocation from the EUR 10,618 million EV control total, the remaining operational business is being valued at an implied EV of EUR 7,868 million. Against the forward 2026 EBITDA estimate of EUR 1,578 million (which still includes some forest contribution before the 2027 demerger), the implied operational multiple is much lower. The allocation implies that the market is already applying a heavy realizability discount to the EUR 5.7 billion gross forest NAV due to the uncertainty of the debt allocation, while simultaneously refusing to pay peak multiples for the packaging businesses during a cyclical trough.

The most fragile assumption in this valuation framework is the realizability of the asset value. Using an asset NAV framework, the EUR 5.7 billion gross value must be compared to enterprise value and adjusted for net debt, tax leakage, and separation costs before inferring residual equity value. Because the debt allocation to Bergslagens Skogar is undisclosed, it is impossible to definitively state how much of the EUR 7,233 million equity market capitalization is supported by the forest assets versus the packaging cash flows. If the new forest entity is burdened with EUR 3 billion in debt to aggressively deleverage the remaining packaging business, the equity value distributed to shareholders will disappoint expectations.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

The scenarios diverge primarily based on two variables: the severity of the containerboard/cartonboard oversupply cycle, and the capital structure assigned to Bergslagets Skogar. The Swedish Forest Assets pool causes the largest absolute valuation swing.

In a downside scenario, structural overcapacity in Integrated Packaging prevents margins from recovering, while the formal demerger plan reveals a heavily levered Bergslagets Skogar balance sheet. This would force the market to drastically write down the net realizable equity value of the forest assets, breaking the NAV thesis. In the upside scenario, the packaging markets tighten, allowing the Oulu mill to ramp up at highly accretive margins, while Bergslagets Skogar is spun out with minimal debt, immediately trading at the premium NAV multiples enjoyed by pure-play peers like SCA.

Debt allocation is the single most important variable for equity holders. A shift of EUR 1 billion in debt between the remaining packaging company and the new forest company does not change the consolidated EV, but it radically alters the equity narratives, dividend capacities, and trading multiples of the two separated entities.

BOTTOM LINE

The central investment debate for Stora Enso is whether the sum of a recovering industrial packaging business and a cleanly demerged forest asset company exceeds the currently discounted conglomerate valuation. The Consumer Packaging pool matters most for near-term cash generation, while the Swedish Forest Assets pool dictates the absolute ceiling on equity value realization. For the valuation to work, two highly distinct things must go right. First, the physical asset value of Bergslagets Skogar must survive the demerger friction—meaning the debt allocation must be equitable, and tax leakage must be minimized. Second, the heavy capital deployed into the Consumer and Integrated Packaging segments (particularly the Oulu conversion) must meet its volume and margin targets against a backdrop of intense Nordic and global competition.

FINANCIAL BRIDGE · PART 1

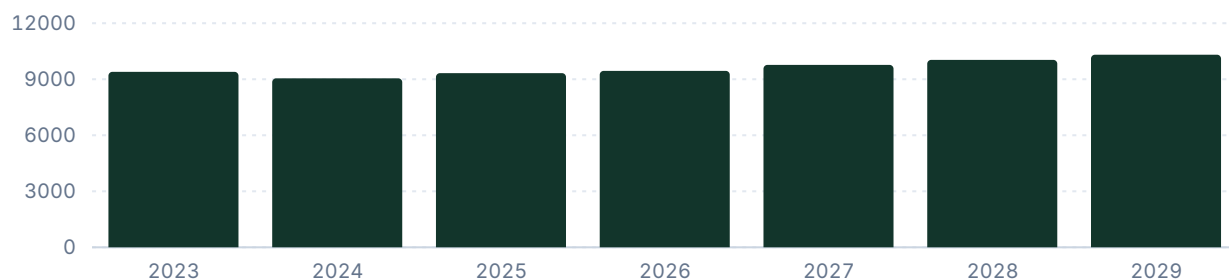
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

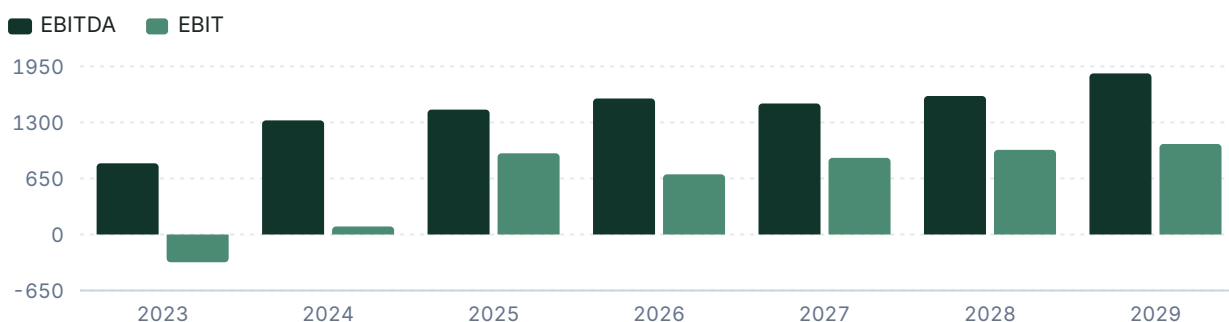
Net sales

EUR millions



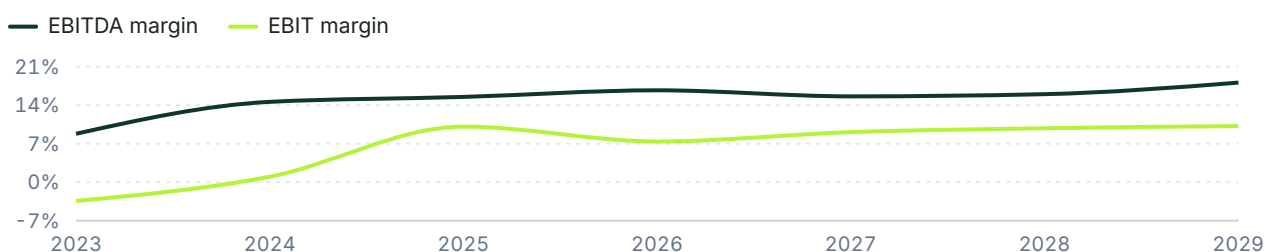
EBITDA & EBIT

EUR millions



EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

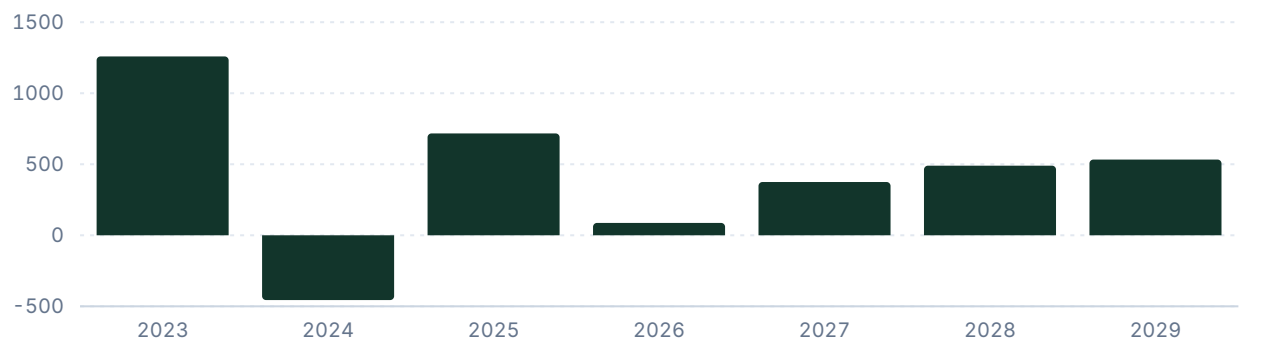
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Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

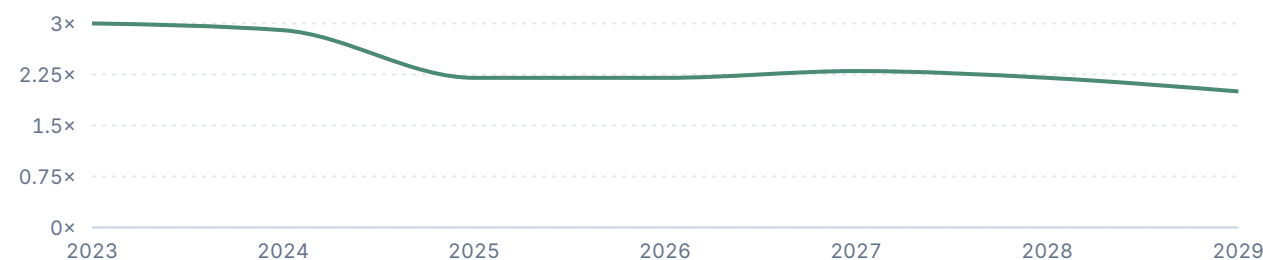
Free cash flow

EUR millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	9,326	9,447	9,768	10,036	10,313
EBITDA	1,449	1,578	1,520	1,607	1,869
Comparable EBIT	942	698	889	982	1,050
Net Earnings	686	406	568	636	600
EPS (EUR)	0.9	0.5	0.7	0.8	0.8
DPS (EUR)	0.3	0.4	0.6	0.6	0.6

VALUATION

Target price derivation

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The rationale for the chosen valuation method and multiple, with the company's historical multiples.

For this asset-heavy packaging and biomaterials group, EV/EBITDA is selected as the primary valuation method to capture the cyclical earnings power of the core operations independently of the pending forest asset demerger, with dividend yield as a supporting method. Stora Enso currently trades at roughly 7.1x EV/EBITDA on 2027e, versus a peer median of 8.0x and its own normalized historical average of 9.0x. The selected fair multiple of 8.5x reflects a slight discount to historical averages to account for near-term cyclical weakness, while recognizing the underlying long-term value of its packaging assets. The XY scatter signal is included with a 20% weight, given the direct relevance of ROE and P/BV for asset-heavy valuation models. The main valuation risk is a deeper or more prolonged slump in packaging demand, which could compress EBITDA margins and force multiples lower.

Historical and Forecast Multiples											
Metric	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	Norm. Avg	Selected Fair Multiple
P/E	20.04x	10.03x	6.75x	-22.93x	-41.89x	12.31x	17.80x	12.74x	11.32x	12.28x	n/a
P/FCF	-262.20x	58.89x	-108.97x	7.85x	-16.82x	11.77x	82.73x	19.29x	14.76x	9.81x	n/a
P/BV	1.40x	1.19x	0.83x	0.90x	0.76x	0.78x	0.66x	0.65x	0.64x	0.98x	n/a
P/S	1.44x	1.25x	0.89x	1.05x	0.85x	0.91x	0.77x	0.74x	0.72x	1.06x	n/a
EV/Sales	1.81x	1.49x	1.09x	1.31x	1.26x	1.24x	1.12x	1.10x	1.08x	1.37x	n/a
EV/EBITDA	10.44x	7.16x	4.98x	14.86x	8.58x	8.00x	6.73x	7.08x	6.73x	9.00x	8.5x
Dividend yield	1.9%	1.9%	4.2%	4.8%	2.1%	2.3%	4.5%	6.3%	7.0%	2.5%	4.5%

VALUATION

Peers and target price bridge

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Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON										
COMPANY	COUNTRY	MKT CAP	P/E 2026E	P/E 2027E	EV/EBITDA 2026E	EV/EBITDA 2027E	P/BV	EBIT MARGIN	ROE	DIV YIELD
UPM	Finland	11.7 EURbn	17.2x	15.9x	8.2x	9.4x	1.2x	9.9%	6.9%	4.7%
Smurfit Westrock Plc	Ireland / USA	22.0 USDbn	14.5x	12.1x	9.1x	7.9x	1.1x	8.7%	5.7%	n/a
Mondi plc	UK / South Africa	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Metsa Board	Finland	872 EURm	-38.4x	13.5x	4.9x	5.7x	0.6x	1.3%	-1.6%	n/a
Holmen AB (publ)	Sweden	57.5 SEKbn	16.7x	15.9x	10.0x	9.3x	0.9x	17.6%	5.5%	n/a
International Paper Company	USA	19.3 USDbn	12.7x	9.1x	9.5x	8.2x	1.9x	5.5%	15.9%	n/a
Suzano S.A.	Brazil	11.0 BRLbn	1.3x	1.2x	4.6x	4.6x	0.3x	27.5%	19.6%	n/a
Peer median			14.5x	12.8x	8.6x	8.0x	1.0x	8.7%	5.7%	n/a
Peer average			12.5x	11.3x	7.7x	7.5x	1.0x	8.6%	6.0%	n/a

TARGET PRICE BRIDGE					
METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE	WEIGHT
EV/EBITDA	2027e EBITDA	1,520 EURm	8.5x	12.1 EUR	48%
Dividend yield	2027e Dividend ps	0.58 EUR	4.5%	12.9 EUR	32%
XY scatter (ROE/P/BV)	Average forecast BVPS	14.2 EUR	1.2x	16.7 EUR	20%
Weighted target price				13.3 EUR	100%

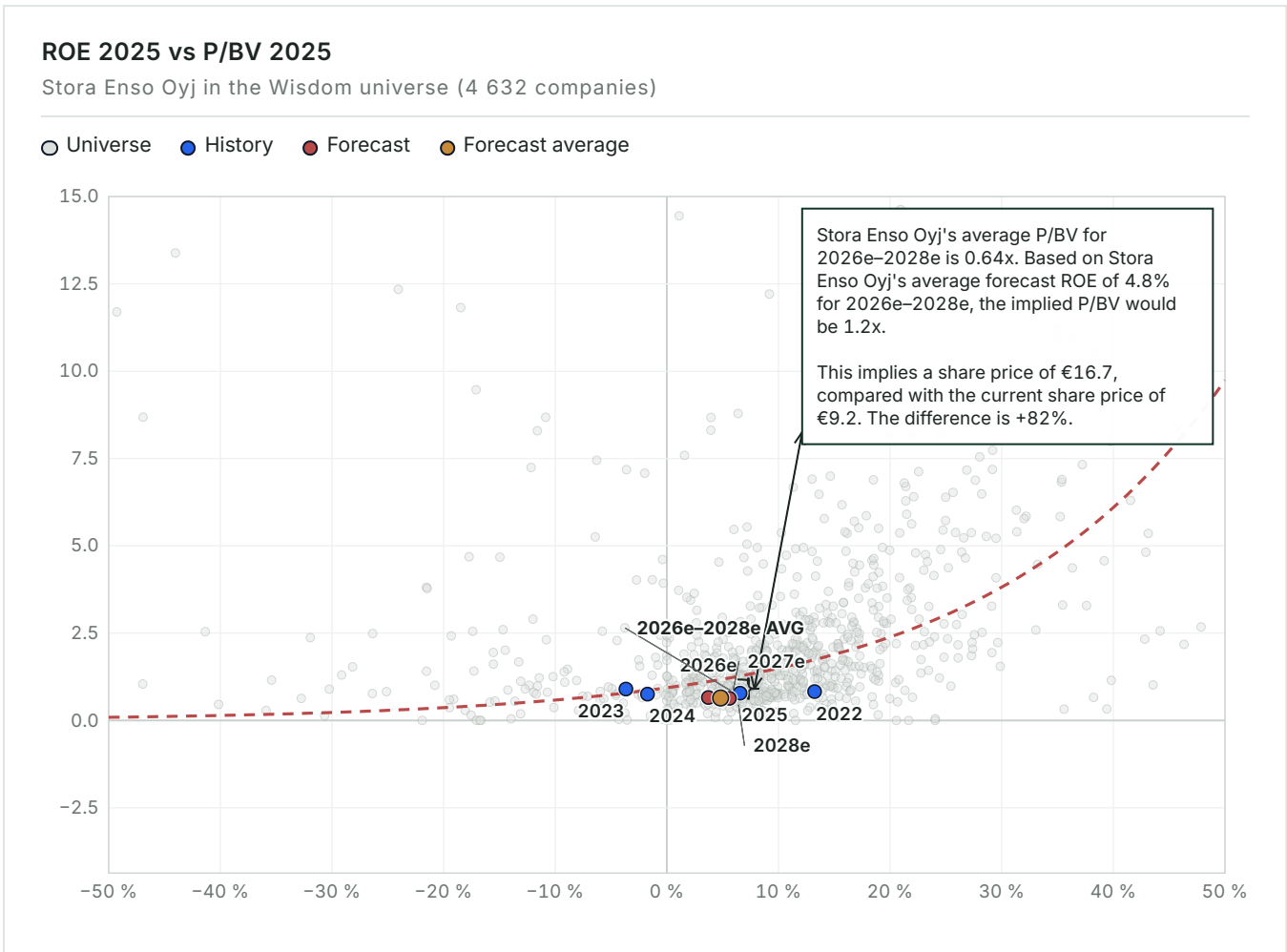
SENSITIVITY — IMPLIED SHARE PRICE			
2027E EBITDA (EURM)	MULTIPLE 7.5X	MULTIPLE 8.5X (BASE)	MULTIPLE 9.5X
1,216 (-20%)	7.3	8.8	10.4
1,368 (-10%)	8.7	10.4	12.2
1,520 (Base)	10.2	12.1	14.0
1,672 (+10%)	11.6	13.7	15.8
1,824 (+20%)	13.0	15.4	17.7

VALUATION MAP

ROE vs P/BV — pricing versus profitability

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The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.



Stora Enso is trading at a forecast average P/BV of 0.6x against a 4.8% ROE, placing it well below the 1.2x multiple the market curve typically implies for such returns. This positioning indicates the current EUR 9.17 share price is undervalued compared to the curve-implied price of EUR 16.7, suggesting a +82% upside potential. Overall, the map shows a positive value implication, as the stock is priced significantly lower than the broader universe relationship between return on equity and book value multiples would suggest.

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	
	2026
P/E	17.8×
EV/EBITDA	6.7×
EV/EBIT	15.2×
P/FCF	82.7×
P/BV	0.7×
Dividend Yield	4.5%
Net Debt / EBITDA	2.2×

EBITDA × EV/EBITDA sensitivity					
2027E EBITDA EV/EBITDA →	6.5×	7.5×	8.5×	9.5×	10.5×
−20% EUR 1,262m	EUR 8,203m EUR 6.30 / sh	EUR 9,465m EUR 7.90 / sh	EUR 10,727m EUR 9.50 / sh	EUR 11,989m EUR 11.10 / sh	EUR 13,251m EUR 12.70 / sh
−10% EUR 1,420m	EUR 9,230m EUR 7.60 / sh	EUR 10,650m EUR 9.40 / sh	EUR 12,070m EUR 11.20 / sh	EUR 13,490m EUR 13.00 / sh	EUR 14,910m EUR 14.80 / sh
Base EUR 1,578m	EUR 10,257m EUR 8.90 / sh	EUR 11,835m EUR 10.90 / sh	EUR 13,413m EUR 12.90 / sh	EUR 14,991m EUR 14.90 / sh	EUR 16,569m EUR 16.90 / sh
+10% EUR 1,735m	EUR 11,278m EUR 10.20 / sh	EUR 13,013m EUR 12.40 / sh	EUR 14,748m EUR 14.60 / sh	EUR 16,483m EUR 16.80 / sh	EUR 18,218m EUR 19.00 / sh
+20% EUR 1,893m	EUR 12,305m EUR 11.50 / sh	EUR 14,198m EUR 13.90 / sh	EUR 16,091m EUR 16.30 / sh	EUR 17,984m EUR 18.70 / sh	EUR 19,877m EUR 21.10 / sh

SCENARIO VALUATION

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Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE								
	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	9,447	1,200	12.7%	7.1×	8,496	5,239	EUR 6.64	-27.6%
Base	9,447	1,578	16.7%	6.7×	10,620	7,363	EUR 9.34	+1.8%
Bull	9,447	1,800	19.1%	7.1×	12,798	9,541	EUR 12.10	+31.9%
KEY CONDITIONS The scenarios diverge primarily based on two variables: the severity of the containerboard/cartonboard oversupply cycle, and the capital structure assigned to Bergslagens Skogar. A downside scenario assumes structural overcapacity prevents margins from recovering, alongside a heavily levered demerger. Upside relies on tightening packaging markets and a clean, lightly-indebted spin-off for the forest entity.								
THESIS BREAKER The thesis breaks if aggressive recapitalization saddles the new forest entity with disproportionate debt, destroying its net realizable equity value.								

CATALYSTS

Monitoring checklist

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Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER				
	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Formal demerger plan publication	NEAR-TERM	Swedish Forest Assets	Disclosure of debt allocation to Bergslagets Skogar	Determines net realizable equity of the 25.9% EV block
Bergslagets Skogar CMD	NEAR-TERM	Swedish Forest Assets	Standalone financial targets and dividend policy	Validates premium asset-NAV thesis
Oulu mill ramp-up	NEAR-TERM	Consumer Packaging	Margin dilution easing in Consumer Packaging	Proves baseline margin recovery
European FBB Pricing updates	NEAR-TERM	Consumer Packaging	PIX cartonboard index movements	Determines near-term EBIT trajectory
Resolution of Wood Products strategic review	MEDIUM-TERM	Central European Wood Products	Divestment or restructuring announcement	Unlocks residual EV from underperforming assets

READ - THROUGH

The publication of the formal demerger plan in H2 2026 is the catalyst that matters most, as it resolves the critical unknown of the balance sheet split. The most easily observed catalysts are the monthly pricing indices for European cartonboard and containerboard, which will provide real-time evidence of whether the structural overcapacity is being absorbed. The catalyst most likely to be misunderstood is the Bergslagets Skogar Capital Markets Day on November 3, 2026. Investors may focus too heavily on the gross NAV or biological yield numbers without adequately discounting the separation costs, stranded overhead, and tax leakage that inevitably accompany a statutory cross-border demerger of this scale. The monitoring checklist directly links back to the valuation tension: we must see physical asset values translate into clean equity, and cyclical margin targets translate into reported cash flow.

RISKS

Risk register

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Each risk's segment, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER					
	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Debt Allocation Risk	Swedish Forest Assets	Disproportionate debt is pushed into Bergslagens Skogar to deleverage the parent.	Hints at aggressive parent recapitalization	HIGH	THESIS BREAKER
Structural Oversupply in Containerboard	Integrated Packaging	Capacity exceeds demand despite closures, keeping margins depressed.	Dropping European testliner indices	HIGH	STRUCTURAL
Separation Friction	Swedish Forest Assets	Tax leakage and stranded corporate costs weigh down post-demerger EV.	Demerger plan outlines high transaction costs	MEDIUM	MANAGEABLE
Pulp Cycle Trough Prolongation	Biomaterials	Sustained low hardwood/softwood pricing due to LATAM supply expansions.	Suzano capacity additions flooding market	MEDIUM	STRUCTURAL
Oulu Mill Ramp-up Delays	Consumer Packaging	Start-up inefficiencies and high depreciation heavily dilute near-term contribution margins.	Weaker than expected quarterly volume run-rates	MEDIUM	MANAGEABLE

READ - THROUGH

The most thesis-breaking risk is debt allocation risk. If Stora Enso attempts to aggressively recapitalize its remaining industrial operations by burdening the new forest entity with excessive leverage, the equity market will aggressively discount the EUR 5.7 billion gross NAV. Pure-play forest companies require pristine balance sheets to support their yield profiles; over-leveraging the asset base destroys the premium valuation multiple. Structural oversupply in the packaging segments is already partly priced, as evidenced by the group's 6.7x forward EV/EBITDA multiple, which sits well below historical norms. However, the risk of a permanent rebasing of European packaging margins is underappreciated. If competitors like Metsä Board and Smurfit WestRock engage in price wars to fill their own new or idled capacity, Stora Enso's assumption of a smooth return to >10% EBIT margins will fail. These risks interact negatively: a failure to recover packaging margins would leave the remaining industrial company starved of cash flow precisely when it loses the biological asset growth previously provided by the Swedish forests.

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APPENDIX

Income statement

INCOME STATEMENT — EUR MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
Net Sales	9,396	9,049	9,326	9,447	9,768	10,036
EBITDA	826	1,324	1,449	1,578	1,520	1,607
EBITDA margin	8.8%	14.6%	15.5%	16.7%	15.6%	16.0%
Depreciation	-1,148	-1,231	-507	-880	-631	-625
Operating Profit (EBIT)	-322	93	942	698	889	982
EBIT margin	-3.4%	1.0%	10.1%	7.4%	9.1%	9.8%
Net financial items	-173	-211	-159	-154	-121	-123
Pre-tax Profit	-495	-118	783	544	768	859
Net Earnings	-431	-183	686	406	568	636
PER SHARE						
EPS	-0.6	-0.2	0.9	0.5	0.7	0.8
DPS	0.6	0.2	0.3	0.4	0.6	0.6
Payout ratio	-109.8%	-86.2%	28.7%	80.0%	80.0%	80.0%

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
ASSETS						
Tangible assets	7,135	7,489	7,122	7,425	7,678	7,889
Intangibles	392	350	295	299	309	317
Goodwill	505	162	171	171	171	171
Non-current assets	14,565	14,877	14,858	15,165	15,428	15,647
Inventories	1,413	1,585	1,802	1,766	1,826	1,876
Receivables	2,177	1,132	965	995	1,029	1,057
Cash & equivalents	2,464	1,999	1,212	1,528	1,580	1,624
Current assets	6,054	4,716	3,979	4,289	4,435	4,557
Total Assets	20,754	19,802	19,059	19,676	20,085	20,426
EQUITY & LIABILITIES						
Equity	10,888	9,988	10,649	10,858	11,101	11,282
Long-term debt	4,183	3,889	3,093	2,274	2,316	2,360
Short-term debt	691	1,841	913	2,274	2,316	2,360
Long-term liabilities	4,687	4,083	3,356	2,537	2,579	2,623
Current liabilities	3,674	4,232	3,277	4,506	4,621	4,726
Total liabilities & equity	20,754	19,802	19,059	19,676	20,085	20,426
CAPITAL STRUCTURE & RATIOS						
Net debt	2,481	3,814	3,257	3,481	3,521	3,577
Capital invested	13,298	13,719	13,443	13,878	14,153	14,378
Equity ratio	52.5%	50.4%	55.9%	55.2%	55.3%	55.2%
Gearing	22.8%	38.2%	30.6%	32.1%	31.7%	31.7%
Net debt / EBITDA	3.0×	2.9×	2.2×	2.2×	2.3×	2.2×
Current ratio	1.7	1.1	1.2	1	1	1

E = Valuatium estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
OPERATIONS						
CF from operations	1,234	1,329	1,116	1,160	1,179	1,243
Operating cash flow	1,300	1,397	1,136	1,274	1,268	1,334
Change in working capital	-474	-281	77	126	20	17
INVESTING & FREE CASH						
Gross capex	667	1,543	488	1,187	893	845
Capex (ex. M&A)	-667	-1,543	-488	-1,187	-893	-845
Free Operating Cash Flow	1,259	-456	717	87	375	490
Free cash flow to firm	1,259	-456	717	87	375	490
FINANCING						
CF from financing	92	-159	-1,300	344	-233	-355
Dividends paid	-434	-473	-158	-197	-325	-455
Net change in cash	659	-373	-672	316	52	43
E = Valuatum estimate (not yet actualised)						

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, EUR MILLIONS

	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	2,164	2,301	2,261	2,322	2,362	2,426	2,283	2,254
EBITDA	263	274	265	582	288	194	358	615
EBITDA margin	12.2%	11.9%	11.7%	25.1%	12.2%	8.0%	15.7%	27.3%
Comparable EBIT	145	148	139	-279	171	64	237	476
EBIT margin	6.7%	6.4%	6.1%	-12.0%	7.2%	2.6%	10.4%	21.1%
Net Earnings	72	38	84	-379	107	15	201	364
EPS	0.1	0.1	0.1	-0.5	0.1	0	0.3	0.5

CURRENT YEAR — QUARTERLY, EUR MILLIONS

	Q1/26	Q2/26 E	Q3/26 E	Q4/26 E
Net Sales	2,358	2,473	2,327	2,289
EBITDA	270	241	402	664
EBITDA margin	11.5%	9.8%	17.3%	29.0%
Comparable EBIT	130	47	174	347
EBIT margin	5.5%	1.9%	7.5%	15.2%
Net Earnings	35	2	116	252
EPS	0	0	0.2	0.3

E = Valuatum estimate (not yet actualised)

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER			
	VALUE	CATEGORY	USED IN
Current Price (EUR 9.172)	9.172	MARKET DATA	Cover, Valuation Reality Check
Forward 2026E EV/EBITDA	6.73x	MODEL OUTPUT	Executive Map, Valuation Reality Check
FY2025 Net Sales (EUR 9,326m)	9,326	FINANCIAL SNAPSHOT	Value Breakdowns, Segment Deep Dives
2027E EBITDA (EUR 1,520m)	1,520	GENERATED ESTIMATE	Forward Bridge, Scenario Analysis, Investment Summary
Peer 2026/2027 multiples (8.0x)	8.0x	CONSENSUS ESTIMATES	Investment Summary
Allocated EV to Consumer Packaging (EUR 3,750m)	3,750	COMPANY VALUE MAP	Executive Map, Segment Deep Dives
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